

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

FIAT CHRYSLER AUTOMOBILES NV, FCA US LLC, AND
FCA ITALY S.P.A., *Complainants*

v.

WALLENIUS WILHELMSSEN LOGISTICS AS, WALLENIUS
WILHELMSSEN LOGISTICS AMERICAS LLC, EUKOR CAR
CARRIERS INC., NIPPON YUSEN KABUSHIKI KAISHA, NYK
LINE (NORTH AMERICA) INC., MITSUI O.S.K. LINES, LTD.,
MOL (AMERICA) INC., KAWASAKI KISEN KAISHA, LTD.,
“K” LINE AMERICA, INC., COMPAÑÍA SUD AMERICANA DE
VAPORES S.A., AND HOËGH AUTOLINERS AS, *Respondents*.

DOCKET NO. 17-09

Served: May 8, 2019

ORDER OF: Erin M. WIRTH, *Administrative Law Judge*.

ORDER DENYING WITHOUT PREJUDICE MOTION IN LIMINE TO BAR THE ROWLAND REPORT

On April 24, 2019, Respondents Wallenius Wilhelmsen Logistics AS and Wallenius Wilhelmsen Logistics Americas LLC (collectively “WWL”) filed a motion in limine (“Motion”) to bar the April 16, 2019, expert report of Christopher Rowland, Ph.D., served by Complainants Fiat Chrysler Automobiles NV, FCA US LLC, and FCA Italy S.p.A (collectively “FCA”). WWL asserts that the Rowland report fails to meet the requirements of 46 C.F.R. § 502.141(d)(2). Motion at 3-6.

On May 1, 2019, FCA filed a brief in opposition to the motion (“Opposition”). FCA argues that the Rowland report meets the expert disclosure requirements of Rule 502.141(d)(2); the motion conflates the standards for admissibility with credibility; and the motion is premature. Opposition at 1-7.

On May 3, 2019, WWL filed a request for oral argument on the motion in limine arguing that the presiding officer will benefit from hearing oral argument and that “it is in the interest of justice that oral argument be heard.” Request for Oral Argument at 2. WWL does not indicate whether it consulted with FCA regarding the request for oral argument and FCA has not responded to the request.

“Motion in limine” refers to “any motion, whether made before or during trial, to exclude anticipated prejudicial evidence before the evidence is actually offered.” *Luce v. United States*, 469 U.S. 38, 40 n.2 (1984). “Although the Federal Rules of Evidence do not explicitly authorize *in limine* rulings, the practice has developed pursuant to the court’s inherent authority to manage the course of trials.” *Luce*, 469 U.S. at 41 n.4.

Evidence should be excluded on a motion in limine only when the evidence is clearly inadmissible on all potential grounds. *Hawthorne Partners v. AT&T Technologies, Inc.*, 831 F. Supp. 1398, 1400 (N.D. Ill. 1993). Courts considering a motion in limine may reserve judgment until trial, so that the motion is placed in the appropriate factual context. *S.E.C. v. U.S. Environmental, Inc.*, 2002 U.S. Dist. LEXIS 19701, at *6 (S.D.N.Y. October 16, 2002).

In addition, “[i]n limine rulings are not binding on the trial judge, and the judge may change his mind during the course of a trial.” *Ohler v. U.S.*, 529 U.S. 753, 758 n.3 (2000). Denial of a motion in limine does not necessarily mean that all evidence contemplated by the motion will be admitted at trial. Denial merely means that without the context of trial, the court is unable to determine whether the evidence in question should be excluded. *Hawthorne Partners*, 831 F. Supp. at 1401; *Noble v. Sheahan*, 116 F. Supp. 2d 966, 969 (N.D. Ill. 2000).

When ruling on the admissibility of expert opinions, courts consider whether the expert is qualified in the relevant field and examine the methodology the expert used in reaching the conclusions at issue. *See, e.g., Daubert v. Merrell Dow Pharmaceuticals, Inc.*, 509 U.S. 579 (1993). The court’s role as a “gatekeeper,” pursuant to *Daubert*, to prevent expert testimony from unduly confusing or misleading a jury, is less applicable in a bench trial. *Magistrini v. One Hour Martinizing Dry Cleaning*, 180 F. Supp.2d 584, 596 n.10 (D.N.J. 2002) (citing *Gibbs v. Gibbs*, 210 F.3d 491, 500 (5th Cir. 2000) (“As this case will be a bench trial, the court’s ‘role as a gatekeeper pursuant to *Daubert* is arguably less essential.”))). Rather than excluding expert testimony, “[v]igorous cross-examination, presentation of contrary evidence, and careful instruction on the burden of proof are the traditional and appropriate means of attacking shaky but admissible evidence.” *Daubert*, 509 U.S. at 596; *Marine Repair Services of Md., Inc. v. Ports America Chesapeake, LLC*, 32 S.R.R. 1133, 1154 (ALJ 2013).

Commission Rule 502.141(d) states:

(d) Disclosure of expert testimony.

(1) In general. A party must disclose to the other parties the identity of any witness it may use in the proceeding to present evidence as an expert.

(2) Witnesses who are required to provide a written report. Unless otherwise stipulated or ordered by the presiding officer, if the witness is one retained or specially employed to provide expert testimony in the proceeding or one whose duties as the party’s employee regularly involve giving expert testimony, the disclosure must be accompanied by a written report, prepared and signed by the witness. The report must contain:

- (i) A complete statement of all opinions the witness will express and the basis and reasons for them;
- (ii) The facts or data considered by the witness in forming them;
- (iii) Any exhibits that will be used to summarize or support them;
- (iv) The witness's qualifications, including a list of all publications authored in the previous 10 years;
- (v) A list of all other proceedings or cases in which, during the previous 4 years, the witness testified as an expert in a trial, an administrative proceeding, or by deposition; and
- (vi) A statement of the compensation to be paid for the study and testimony in the proceeding.

46 C.F.R. § 502.141(d)(2)(ii).

The five-page Rowland report consists of five parts: (1) Author and Qualifications, (2) Introduction and Assignment, (3) Proposed Methodology, (4) Profit Margins and Prices, and (5) Calculation of Damages. Attached to the Rowland report is Dr. Rowland's curriculum vitae and a list of material reviewed. The report states that it may need to be supplemented as additional facts become available. Rowland report at 2. Respondents' expert witness reports are scheduled to be served by June 3, 2019. Depositions of expert witnesses are scheduled to be completed by July 12, 2019.

WWL contends that the Rowland report fails to include a "complete statement of all opinions the witness will express and the basis and reasons for them;" that the "yardstick approach," which the report explains, is not appropriate; the report "sets forth zero facts or data;" "zero exhibits [are] identified;" publications listed in the attached curriculum vitae list four publications, "none of which deal with ocean shipping;" the report does not list any proceedings or cases where Dr. Rowland has testified as an expert; and listing hourly rates is not a sufficient statement of his compensation. Motion at 3-6.

FCA responds that Dr. Rowland is an economic expert on overcharges who proposed a methodology for estimating damages from overcharges and how to ultimately account for damages; the report attached a list of documents reviewed; if "Dr. Rowland intends to rely on exhibits, then the exhibits will be identified;" Dr. Rowland's curriculum vitae describes his qualifications; he has not testified as an expert witness during the previous four years; and he has identified his customary rate. Opposition at 1-2.

WWL's arguments regarding Rowland's qualifications, methodology, and opinions, such as his experience with ocean shipping and whether the yardstick approach is appropriate, are relevant to the weight to be given to the Rowland report, but not to its admissibility. However, the Rowland report does not draw any conclusions. The report proposes an "economic methodology utilizing data that can reasonably be expected to become available through

continuing research” and offers to supplement the opinions and preferred methodology as appropriate. Rowland report at 1-2. Rowland describes how he would calculate damages but does not actually calculate any of the damages. Accordingly, the Respondents’ expert cannot opine on Rowland’s calculations and conclusions because Rowland does not provide any calculations or conclusions.

FCA states that the parties “are cooperating to schedule depositions” and that “Rowland will need to supplement his opinion to account for the information and documents that are produced in relation to these depositions.” Opposition at 6. It is not clear why the parties proposed in their August 9, 2018, joint status report for the Complainants’ expert report to be due before the close of discovery for fact witnesses. Joint Status Report, August 9, 2018, at 2.

The schedule indicates that fact discovery should have been completed by May 3, 2019. FCA will need to complete fact discovery and finalize its expert’s report. WWL’s expert’s report is due on June 3, 2019. WWL’s expert can only respond to the information that it has time to review from FCA’s expert. If FCA’s expert is able to supplement his report, WWL’s expert should similarly be able to supplement his or her report. The parties shall continue to cooperate in scheduling depositions, any remaining fact discovery, expert reports and supplements, and expert depositions. These should be completed prior to briefing on the merits.

In the instant case, the qualifications and methodology are issues best determined through briefing, not by way of a motion in limine. Moreover, the risk of prejudice from giving undue weight to marginally relevant evidence is minimal in a bench trial such as this where the judge is capable of assigning appropriate weight to evidence. In addition, at this stage in the proceeding, it cannot be concluded that Dr. Rowland’s report will not assist the trier of fact. Additional questions regarding expert qualifications, publications, compensation, and prior testimony may be addressed in Dr. Rowland’s supplemental report and in depositions.

Having fully considered the motion and opposition thereto, and for all the foregoing reasons, it is hereby ordered that WWL’s motion in limine to bar the Rowland report be **DENIED WITHOUT PREJUDICE**. The parties shall work together to ensure the case is ready to proceed to briefing as scheduled.

It is also hereby ordered that the request by WWL for oral argument on the motion be **DENIED**. Requests for oral argument on a motion are best included in the motion or filed as a separate non-dispositive motion pursuant to 46 C.F.R. 502.71. Although WWL’s request does not indicate whether or not it consulted with FCA, there is no need to delay resolution of the issue as the undersigned has the information necessary to decide the motion without hearing oral argument.



Erin M. Wirth
Administrative Law Judge